

rates mostly fell, yet stocks and economic activity fell right along with them. Interest rates on safe (actually safe, not simply labeled “guaranteed” or “insured”) debt, rare as it will be in this cycle, will likewise fall as the desire for business loans recedes. Any such signs of falling interest rates should not be interpreted as bullish, as they would be during the first half of a Kondratieff cycle.

When will the final phase of the current cycle end? A dozen years ago, after figuring out the proper position of the cycle, *The Elliott Wave Theorist* projected the next bottom as follows: “Based on its previous low in 1896, the most recent Kondratieff cycle bottom...may have occurred as late as 1949, which places the next bottom around **2003**.” Figure B-3 shows the projected Kondratieff cycle into that year.

How reliable is this timing projection? Most economists dismiss cycles altogether and appear particularly to relish denying the existence of the Kondratieff cycle. I take a strong position on the opposite side. While the time length for the Kondratieff cycle is usually cited as “50 to 60 years, averaging about 54 years in length,” the record of stock prices reveals that this cycle has recently been quite precise. As you can see by Figure B-4, price lows occurred in 1896, **53** years before 1949, and in 1842, **54** years before 1896, and (possibly) 1788, **54** years before 1842. Sparse data indicates that the latter date could have been any of several years between 1778 and 1788 (see discussion in Chapter 2). The cycle that occurred in the 1700s in British stock prices appears to have been longer, at **62**

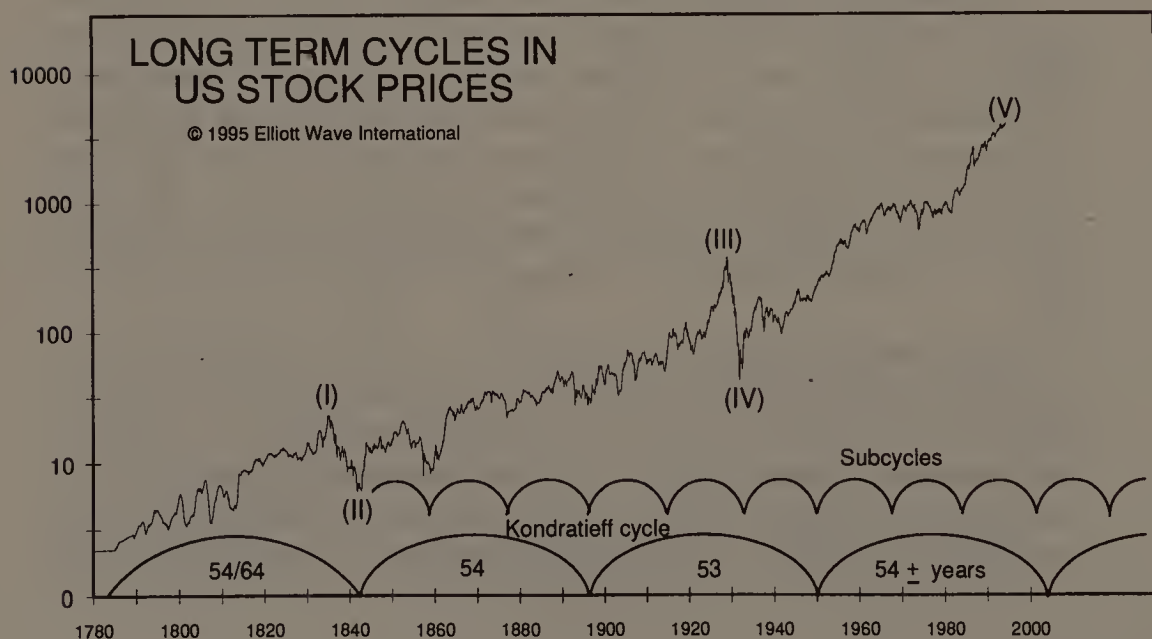


Figure B-4